

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DCCED

Date: 5/18/2026

Bill Number: HB 363

Short Title (as it appears on BASIS): ALCOHOL: PATRIOTIC ORGS; CLUB LICENSES

What action do you recommend the Governor take?

Select one.

☒ SIGN ☐ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

HB 363 expands the privileges of patriotic organizations operating under a club license. Patriotic organizations have struggled to attract and maintain memberships and generate enough revenue to support their mission. This bill could significantly improve the business health of these organizations. Making changes to club licenses for patriotic organizations will aid in making these nonprofit organizations more inclusive of all veterans and will further honor those who served and their communities. The patriotic organizations under this legislation include, the American Legion, Veterans of Foreign Wars (VFW), and American Veterans organizations. AMCO recommends SIGN.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

HB 363 allows patriotic organizations to sell and serve alcoholic beverages to members of other patriotic organizations without a reciprocity agreement. This bill also allows patriotic organizations to solicit patronage and serve alcoholic beverages (not just beer and wine) to

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members of the public at a permitted event. Currently, nonprofit organizations may only serve beer and wine at a permitted event. This bill provides a definition for patriotic organization.

This bill makes it easier for patriotic organizations to do business with other organizations and their members. It also helps patriotic organizations increase membership and public outreach by broadening their privileges at permitted events. It could help patriotic organizations generate additional revenues without significant impact on AMCO, DCCED, the public, or other members of the private sector. It aligns with Governor Dunleavy’s priority to aid local businesses.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1 amends AS 04.09.220(d) to remove the requirement of a reciprocity agreement between two patriotic organizations to allow sales to members of one organization at the premises of another.

Section 2 amends AS 04.09.220(i) to expand the permission to solicit public patronage to include events permitted under AS 04.09.630, AS 04.09.660, or AS 04.09.670.

Section 3 amends AS 04.09.660(a) to allow patriotic organizations to sell all alcoholic beverages under a nonprofit organization event permit. Other nonprofit organization event permit holders would be limited to beer and wine.

Section 4 amends AS 04.09.660(e) to ensure profits of alcoholic beverages, in addition to beer or wine, are paid to the organization and not an individual.

Section 5 adds a new paragraph to AS 04.21.080(b) to define “patriotic organization” to include the American Legion, Veterans of Foreign Wars, and American Veterans organizations.

Section 6 repeals AS 04.09.220(j) which would remove the reciprocity agreement definition.

Section 7 provides an immediate effective date.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

None.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

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Testimony was provided in support at these hearings by members of the various patriotic organizations in the state such as:

- Justin Mills, American Legion Post 1, Anchorage; and
- Mike Calhoun, American Legion Post 5, Seward.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

In September 2023, arson destroyed the Joseph T. Craig American Legion Post 3 in Ketchikan, AK. In April 2026, Princess Cruises and Holland America announced they'd be contributing \$175,000 to help rebuild the facility. Joseph T. Craig American Legion Post 3 is one of Alaska's oldest American Legion Post, having been chartered in 1919. Having a bill signing ceremony in Ketchikan would show support for Alaska patriotic organizations. According to AMCO records, Deborah Davis is the designated licensee and can be reached at (907)225-2021 or jtcpost3@gmail.com.

Commissioner's Signature:

DocuSigned by:

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Date:

5/19/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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